

Loan Prepayment and Foreclosure Policy

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SYNTHETIC SAMPLE DATA. Written for a technical assignment. Not a real policy of any company.

1. Definitions

Part-prepayment means paying an amount over and above the scheduled EMI while the loan remains active.

Foreclosure, also called full prepayment or preclosure, means repaying the entire outstanding principal and closing the loan before the scheduled end of its tenure.

2. Lock-in period

Foreclosure is permitted only after 12 EMIs have been paid from the date of first disbursement. Part-prepayment is permitted after 6 EMIs have been paid. Requests received before the applicable lock-in period will be rejected.

3. Foreclosure charges

The foreclosure charge depends on the interest rate type and the borrower category.

Loan type	Borrower category	Foreclosure charge
Floating rate	Individual	Nil
Fixed rate	Individual	3% of principal outstanding
Floating or fixed rate	Non-individual	4% of principal outstanding

Goods and Services Tax applies to all charges. As required by regulation, no foreclosure charge is levied on floating rate loans sanctioned to individual borrowers for purposes other than business.

4. Part-prepayment charges

Part-prepayment of up to 25% of the principal outstanding in a financial year is free of charge for all borrowers. Any amount above that limit attracts a charge of 2% on the excess. A minimum part-prepayment of Rs. 25,000 applies.

5. How to request foreclosure

- Raise the request through the customer portal, the mobile app, or any branch.
- A foreclosure statement is issued within 3 working days and is valid for 15 days.
- Pay the quoted amount by NEFT, RTGS or demand draft. Cash is not accepted for foreclosure.
- The loan is closed within 7 working days of the payment clearing.

6. Documents released after closure

The No Objection Certificate is issued within 7 working days of closure. Original property documents, where held as security, are returned within 30 calendar days of closure from the branch where the loan was serviced.

7. Effect on credit bureau reporting

Closure is reported to credit bureaus in the reporting cycle following closure. Bureau records may take up to 45 days to reflect the closed status.